PAYTM'S PROBLEMS

Rs 2,150 OFFER PRICE

Rs 1,950 LISTING PRICE (Nov. 18, 2021)

Rs 565.35 One97's share price on March 21, a loss of over 70% in five months

Rs 1 lakh crore Market capitalisation at the time of listing

Rs 36,664.3 crore Market capitalisation on March 21, 2022



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INVESTOR WORRIES

- The lack of clarity around Paytm's business model
- The firm is too diversified, with too many moving parts
- Fierce competition in the digital payments sector
- No clarity on the road to profitability

ban, Sharma acknowledged that the RBI had found problems, saying it had "pointed out some line items that need to be sorted out," but offered little detail on what exactly those were. "There is some work the RBI wanted us to do... they have guided us," he said on the matter. Perhaps as a result of the lack of clarity, speculation has been rife about what triggered the ban. One theory that Sharma had to push back against was that there had been a data breach at PPB, with customer information being shared with Chinese firms, some of whom own a stake in Paytm. (One97 is backed by China's Alibaba Group Holding, and its affiliate, Ant Group.)

Paytm had already been in rough financial waters after its stockmarket debut last year. There was no honeymoon period—on November 18, One97's share price sank 27 per cent, the biggest opening-day drop for a share sale worth more than Rs 1,000 crore. The stock had listed at Rs 1,950, 9.3 per cent down from its offer price of Rs 2,150, and ended the day at Rs 1,564, wiping out about Rs 5,000 crore of investor wealth. By November 22, the company's market cap was below $13.1 billion (Rs 1 lakh crore), at $11.6 billion (Rs 88,184.67 crore) against a listing expectation of about $18.4 billion (Rs 1.4 lakh crore). It has continued to fall, with One97's market cap at $4.8 billion (Rs 36,664.32 crore) on March 21. Brokerage firm Macquarie, which was one of the earliest to predict Paytm's market troubles, has pegged its price estimate for the firm's shares at Rs 450.

When it comes to why investors are abandoning Paytm in such numbers, analysts highlight the lack of clarity around the firm's business model, saying it has its fingers in too many pies and that there are so many moving parts it is difficult for investors to get a handle on what exactly Paytm's business model is. Another factor is the increasing competition the firm faces. "There is no clarity as to what the business model will be, what the major growth drivers are and what the road to profitability looks like. Until [Paytm offers] a clear vision on [these points], the stock price will remain pretty much pinned down," said Dipan Mehta, director at Elixir Equities, in an interview.

Paytm's woes also highlight some of the larger issues with tech start-ups that experts have red-flagged. On the bourses, start-ups face sustained scrutiny on various metrics, including their dominance of their respective sectors, their access to capital and their ability to sustain losses while building up market share. Investors also need to know the timeline within which these start-ups are expecting to turn a profit. Without clarity on these aspects, valuations fall. There is also fierce competition in the digital payments sector, especially after the government's UPI ended Paytm's first-mover advantage in this space.

Macquarie does not see much hope for the beleagured firm in the immediate future, saying "Paytm's valuation [remains] expensive, especially as profitability should remain elusive for a long time". And while troubles continue to mount for Paytm and One97, investors continue to see the value of their investments slide. Moving forward, this could also damage investor confidence in start-ups in general, a worrying sign for other start-ups hopeful of a public listing. According to media reports, the scale of Paytm's troubles has already led some to delay their debuts, with target valuations also being reappraised. The only clarity, in fact, seems to be that rough waters still lie ahead. ■